

Question:

A merchant wants to make a choice of purchase between 2 purchase plans: jewelry worth \$5,000 or electronic gadgets worth \$8,000. His financial advisor speculates that the jewelry market will go up 2.5% while the electronic gadgets market will rise 1.2% within the same month. If the merchant is looking to maximize profit at the end of this month by making a choice, how much profit would this be?

Reasoning + Answer:

<think>
Profit from jewelry = 5,000 * 0.025 = 125
Profit from electronic gadgets = 8,000 * 0.012 = 96
The merchant should choose the jewelry option to maximize profit.
Profit = 125 - 96 = 29
</think><answer>
29 </answer>

